

NANDAN DAVE

BUILDING BLOCKS
An aerial view of Ahmedabad's Paldi area, Nov. 2022

REALTY SHOCK

eration of Real Estate Developers' Association), Gujarat, stated that 50,000 ongoing deals will be affected. It also contested the standard hike of 100 per cent across the state, calling it inappropriate, as land rates in rural areas may not have appreciated as much as in the urban areas, and people may end up paying higher than the market rate. "Revision of *jantri* rates is an ongoing exercise to be done periodically, from twice a year to once every two years. For reasons that are anybody's guess, this revision had not happened for 12 years. But every time, the revision has been a consultative process with a lead time of a few months," Shah says.

The following week was a busy one for Chief Minister Bhupendra Patel—a real estate developer himself in his constituency Ghatlodia in Ahmedabad till a year and a half ago, when he was first appointed CM. He almost constantly met industry representatives, who demanded a 50 per cent rollback and deferment of the implementation to May 1. A slight reprieve came via a February 11 announcement that the new *jantri* rates will start applying only from April 15, but the statewide doubling of rates was to remain. While the industry heaved a momentary sigh of relief, powerful builders rushed straight back to their offices from the CMO to push through the registration of pending deals.

"In the past 12 years, there has been a significant increase in the market value of immovable properties. The revision of *jantri* rates was necessary to give citizens the due market value of their properties," superintendent of stamps Jenu Devan says. But that precisely was the problem. Typically, revisions are done in small measures periodically, not effected via one drastic hike, that too across the board.

"The revision usually follows a scientific survey, done regularly by the talatis' and collectors' offices. For the survey, the talatis consider an average value of the deals done in the area in six months or so and arrive at the new *jantri* rate. This time, the survey is being done now and we are told there will be another revision in a few months, when the rates in some areas will be revised upwards. But the present announced rate won't be cut," Shah says.

On the government's side, the reason for the abrupt announcement is believed to be two-pronged. First, to reduce black money circulation in the market. Gujarat is notorious for having the highest 'cash component' in every realty deal. The market rate of a property is quoted at levels much higher than the *jantri* rate, and the difference, to varying degrees, is demanded by the developer in cash. "The bulk of the players in Gujarat are small-time builders, making it an unorganised market; 90 per cent of transactions happen above *jantri* rates. No GST is paid on cash transactions," says Rocky Israni, MD of Pacifica Companies.

Another reason was to raise stamp duty, an important source of revenue for the government. According to official data, from 2021 to 2022, property registration in the state has increased by 11 per cent and revenue from stamp duty by 19 per cent, from Rs 7,337 crore to Rs 8,769 crore. A key BJP promise in its manifesto ahead of the 2022 assembly election was to increase the size of the economy to $1 trillion (Rs 81.6 lakh crore)—a four-fold jump from the current Rs 19.4 lakh crore.

DOUBLING DOWN

On February 4, the state government effected a 100 per cent hike in* jantri, *or the minimum benchmark rate for property/ land transactions

- Developers say the decision will affect 50,000 deals, calling the uniform 100 per cent hike across the state inappropriate
- After protests by developers, the government deferred the implementation to April 15, keeping the statewide doubling of rates unchanged
- Through the decision, the government wants to reduce the black money circulation in the market besides raising its revenue through stamp duty
- The decision will affect middle-income buyers, typically dependent on a home loan, as well as the developers
- Property tax will also double instantly, further pinching the middle class